$\bar{A}$MS

The subsidies provided by the government to the agricultural sector (i.e. domestic support) is termed by the WTO as Aggregate Measure of Support (AMS)[74]. It is calculated in terms of *product* and *input* subsidies. The WTO argues that the product subsidies like minimum support prices and input subsidies (non-product) like credit, fertilisers, irrigation and power will cut the production cost of farming and will give undue advantage to such countries in their access to world market—such subsidies are called to cause ***'distortions'*** to the world trade. Such subsidies are not permitted in one sense as they have a minimum permissible limit *de minimis* under the provisions which is 5 per cent and 10 per cent of their total agricultural output in the case of developed and developing countries, respectively.

The Boxes

The agricultural subsidies, in the WTO terminology have in general been identified by 'boxes' which have been given the colours of the traffic lights —*green* (means permitted), *amber* (means slow down i.e. to be reduced) and *red* (means forbidden).

In the agriculture sector, as usual, things are more complicated. The WTO provisions on agriculture has nothing like *red box* subsidies, although subsidies exceeding the reduction commitment levels is prohibited in the *'amber box'*. The *'blue box'* subsidies are tied to programmes that limit the level of production. There is also a provision of some exemptions for the developing countries sometimes called the 'S & D box'.[75]

We may see them individually though they are very much connected in their applied form. The objective meaning of each one of them becomes clear, once one has gone through all of them:

Amber Box

All subsidies which are supposed to distort production and trade fall into the amber box, i.e., all agricultural subsidies except those which fall into the blue and green boxes.[76] These include government policies of ***minimum support prices*** (as MSP in India) for agricultural products or any help